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COMPANY DEEP-DIVE

Head of Automation & AI Practice at Cognizant Technology Believes Enterprise AI Adoption Will Be Gradual but Transformative

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SMART SUMMARY

Summary

The conversation covered the current state and future trajectory of AI and agentic automation adoption in large enterprises, focusing on cost control strategies, model selection, and the challenges of integrating new AI technologies into existing workflows.

EXPERT BACKGROUND

- Head of Automation & AI Practice for Northern Europe at a major IT services and consulting firm, with direct experience implementing agentic automation and AI solutions for large enterprise clients, including internal BPO operations.

EXPERT SENTIMENT

- The expert believes that while **AI agentic automation is revolutionary and will drive significant automation and cost savings**, full enterprise adoption will be a gradual, multi-year process due to complexity and change management.
- They see model selection and dynamic cost control as higher priority levers for enterprises than input compression tools like Caveman, especially as token costs become a more significant part of operational expenses.

TAKEAWAYS

- AI agentic automation is still in early stages of enterprise penetration, with most value expected in automating complex, unstructured processes over the next 5-7 years.
- Token efficiency and LLM consumption costs are not yet a top concern for most enterprises, but are becoming more relevant, especially for developer use cases.
- Model selection—choosing the right LLM for the right task—is seen as the most impactful way to control costs, with some platforms already offering dynamic model selection based on task complexity and cost.
- Adoption of AI tools is uneven across enterprises, with developer use being **widespread but broader workflow integration still facing challenges** related to governance, security, and change management.
- Enterprises are open to experimenting with innovative, smaller AI vendors if value can be demonstrated, but there is a strong bias toward established platforms already integrated into their IT landscape.

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Expert Bio

Head of Cognizant Automation & AI Practice Northern Europe at Cognizant Head of Cognizant Automation & AI Practice Northern Europe at Cognizant. Reporting to executive leadership, the expert is responsible for full P&L and growth strategy for Cognizant’s Automation & AI practice across the Nordics and Benelux, leading cross-functional teams to implement agentic AI, multi-agent orchestration, hyperautomation solutions, and BPO transformation initiatives, evaluating and selecting enterprise automation platforms, driving adoption of conversational AI, intelligent agents, process mining, iPaaS, RPA, low-code, and BPM solutions across financial services, telecom, industrial goods, and retail sectors. The expert can speak to, has implemented, and is a customer of agentic automation platforms, multi-agent orchestration frameworks, hyperscaler agentic AI platforms, conversational AI systems, process mining platforms, iPaaS platforms and BPM platforms.

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Interview Transcript

Client 00:00:00

Hi thanks for taking the time to talk with me today. I am interested in learning more about Caveman Basically, the core idea is that it's doing input compression on input tokens. It would strip out any unnecessary language, any verbosity, so that almost the token usage is lower and then, obviously, **costs for companies go down**.

I think **it's got to 92,000 GitHub stars, growing** quite nicely, and it's now switching to or starting to launch a cloud-based solution that it hopes to plug into enterprises and help them manage their costs. I'll pause there. I suppose my question is, how much of this do you think would be a priority for enterprises that you serve, and how much of it's an interest to enterprises? We can get into very specific questions, but we'd just love to get your first high-level take.

Expert 00:00:51

Absolutely. I think it's good that you talk to someone like me because, like you say, I see this from the trenches. We help clients implement agentic automation, which basically involves calling underlying LLMs, where this could become relevant, and I'll come back to that. WE also eat our own medicine. We have a big BPO operation where I'm responsible for bringing this to bear in our own ops, in my region, Northern Europe. That's using different platforms.

The first umbrella reflection is that it's still very early days in terms of AI agent penetration. Usually, I talk about agentic automation, which basically is employing AI agents in a process automation context, and that's where the meat is. You can think like finance and accounting, core insurance flow, HR flows, etc. There are hundreds, if not thousands, of such processes within the large enterprise clients that we serve. We have been automating there for many years. With agentic automation, we can now finally address unstructured data, **we can address ambiguity**, etc.

The technology is very exciting. It's even revolutionary, I would say. Over time, we fully expect, based on the early evidence we have, that we will be able to automate 55%-65%, maybe more, I would say 60%-70% of BPO work. Just for reference, Cognizant has 100,000 people doing BPO work. Just with us, it's potentially up to 70,000 people that can be automated away. It's absolutely massive. However, it's not something you implement just like that.

Sometimes it's easy to get the feel when you follow the white papers and the technology developments and the platform marketing that you buy a platform or you strike an enterprise agreement, and then you have rolled it out. That's not how it works. With agentic automation, you need to go process by process in a very painstaking transformation that includes change management, process redefinition, fine-tuning, etc. This is very laborious, and it will take many years, five, seven years easily, to fully penetrate.

I think that's good to have in mind that the problem you are trying to address here, which is basically token efficiency or consumption cost, LLM consumption cost, it's not yet a pressing problem for the enterprise clients I see. It's getting there, but not quite yet. Where **it's a problem, I would say, is also on the developer side because that's actually and a bit ironically, the first area where it has been truly disrupted and** the barriers of entry or rather the barriers to scaling are lower on that side of the usage.

Basically all the developers within our company and that I know of, at our customers and friends and so on, they use these tools like be it Cursor, GitHub Copilot, Cloud Code, whatever. I did some quick research on Caveman, I think, and what you mentioned as well, **it can basically compress the input,** and that's loadable. That's mainly where it's verbose, etc. In coding tasks, I am not sure the compression is as relevant. Maybe you know this better than me, but that would be a question mark.

The main usage is on coding, I would say, within enterprise usage. At least that's where **the cost can really spiral away**, because for some of those tasks, you can easily have like, it needs to think for 30 minutes, etc. Of course, you have personal productivity as well, but that's like drafting emails and so on, and that's typically not as token-heavy work. I will pause here, but that's first of all, maybe painting the picture a bit and then my initial reflections, which we can build on as you wish.

Client 00:04:57

It makes a ton of sense. I would be curious to get a little bit of the state of the union from AI implementation within enterprises. I know that's a bit of a broad question, but where are they in terms of usage and implementation? I presume we are now past the making sure that people are using Claude and/or Copilot in their day-to-day. I am wondering what systems and we are in the phase of helping engineering teams, helping product teams build agentic products and making sure at least some teams are AI first.

I'd love to just get a little bit of a state of the union, and then I suppose we can double-click on what priorities there are in the next few years as AI, as token costs go up and enterprises will need to think about a way to not rationalize, but just make sure everything is tightened and efficient as it can be.

Expert 00:05:49

Absolutely. it's a broad question, but it's super interesting as well. I'm just trying to unpack it a bit. AI is obviously on top of mind, and everyone can relate to it. I would say most enterprise clients by now they have enterprise agreements with Copilot or Claude or OpenAI. Not

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everyone and not for everyone. One should not assume that every white-collar worker has an integrated Copilot or Claude connected to their infrastructure, etc. That's not yet the case, I would say. **We will probably get there, but there is a cost issue and there is a rollout issue**.

I think there were a bit some early disappointments, above all last year when enterprises rolled out, for example, Microsoft Copilot to everyone because they had a distribution advantage, and so they were quick on that. **They didn't really see the uptake**, etc. It's not uniformly rolled out to everyone. That's a first caveat. It's there are enterprise agreements, I would say, everywhere. The building blocks are there.

Again, I would say, on the developer side, it's being widely used. On the white-collar side, if I call it that, or on the managerial or individual contributor side, non-coding side it's still largely used as a personal productivity tool for your email drafting, summarization, etc. I speak from my own experience here, how we use it. **We are still struggling a bit** to embed it into our corporate workflows, and into our ways of collaborating.

There, I think it's a bit of a culture change and also upskilling and partly also it's a governance and data security issue where, for example, we have it but we are not strictly speaking allowed to upload client documents, etc. That severely limits what you can do in practice, at least in terms of responding to RFIs or solutionizing, etc. These are things that are being worked on, and it's part of the adoption maturity, maybe for the next 12- to 18-months, but I expect that to be worked out.

It's similar to the cloud, for example, where at least in Europe, there were lots of security concerns and GDPR concerns, etc., that had to be worked through before you could really adopt it more widely. Here it's speeded up a bit, relatively speaking, by the fact that, again, everyone can really relate to this and are keen to get going here. There is also, **I have seen that firsthand, there is a shadow IT problem** here that if you are not allowed to use Claude or Copilot at work, you have it on your own laptop. You may well draft a report partly on that laptop, and **that's even worse arguably**. That's recognized as well.

This is becoming part of your overall personal and productivity stack for everyone. There is no doubt about that, but it will take maybe 12 to maximum 18 months. That's what I am saying there. Again, coding we touched upon, it's already widely used. The last piece is the agentic side, which is workflows, code, or Claude Cowork. You have native agentic platforms and UiPath and others that are pitching and promising, and this is where I work mostly, to be honest, how you can then automate workflows using agentic.

There, like I said, it's very promising. That's actually where a lot of the enterprise value is. **We're talking massive cost savings, but also quicker turnaround time, improved compliance, improved agility, etc., which indirectly has other benefits** as well. It's a long journey, even a slog, to really spread this. Here I would say **the state of the union is that last year, there were a lot of proof of concepts**. There were pilots being run, sometimes called pilot purgatory.

The pilots got stopped, not because they didn't show any value, but because it was like a let a thousand flowers bloom kind of thing, where every system integrator was pushing this, every platform company was pushing this. You had a lot of interest from the companies itself, from different types of stakeholders out in the business units, maybe from the automation center of excellence, maybe from the IT department, maybe from the CFO office. It was uncoordinated. Now no one is questioning whether this work anymore.

There are questions around governance, etc., but that's more like how do we get it to work? No one is questioning the fundamental value anymore. I think everyone is wondering and questioning and tinkering with how can we get it to scale and really work on an enterprise level, where we are talking, again, hundreds of processes, thousands of agents that need to be orchestrated across these processes. It's being realized now that's actually a massive, complex change transformation or transformation program with the big change component. that's what the industry is trying to crack.

Client 00:11:04

Got it. If we're talking in two years, or 18 months to two years, and we're saying, "Some of this is going really well and some of it's not, but **we're making progress**." Now the time is that what's happening at Microsoft and at Meta and all of these other tech organizations where **AI costs are ballooning**.

What are enterprises in your mind, how are they going to rationalize? What are the different steps they're going to take in terms of rationalizing? Is it first they're going to talk about model selection and going more open source? I'm just trying to understand where does input compression rank or stack rank in the enterprise's decision to tinker and try and compress cost?

Expert 00:11:47

That's a good question. Again, we can look to how it went with cloud. Enterprise clients, they are savvy. They know about these technology. They have their own IT architects. They have a professional procurement department, etc. They think about this a lot. They did that with cloud as well. What they did there was they had the multi-cloud strategy. In practice, they gravitate towards one cloud, but they always have at least another hyperscaler there in order to impose price pressure and basically retain the buying power. They will do the same here, I'm sure.

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For the first, maybe they are gravitating to a certain platform in the beginning, but even then you can access increasingly different underlying models from, for example, Azure Intelligence, etc. They will be able to access different underlying models. A lot of the automation platforms as well, if they are legacy BPM, like Appian or OutSystems, or if they are newer like n8n that you mentioned, for example, or if we talk about RPA heritage ones like UiPath or native ones like Otera, they all have, you can select your models. Either you can do it manually or you can do it dynamically based on cost and complexity, etc.

Yes, model selection or partner selection is one, and then model selection is one. Model selection is actually a big thing. Where I think we will see a lot of work going into how can you stringently choose the right model for the right work. Right now, I feel it's a bit like willy-nilly. I'm not sure at is this done because you run out of credit and then **you are forced to go with the less powerful model,** or is it really a proper analysis of your query and then automatically chooses a less powerful model? We are getting there. There will be algorithms basically dynamically choosing the best model for you.

Some already have that will mature more. You mentioned yourself that you have the open source models as well. That's very interesting because we saw that with Kimi, for example, which is maybe not strictly open source, but it's we should not assume that **the model cost is going to explode just** because we see these large investments and we see the usage is going to explode, etc. that's true, but it could also be that the models get more efficient, and we are actually seeing some signs in that.

It's similar to in the late '90s, we were building out infrastructure like fiber cables for internet, and then **we invented different compression algorithms** that actually made the packages that we were sending back and forth much smaller. Almost overnight **the volume went down** a lot. I'm not saying it's going to be one to one the same, but a lot of work is being done on models **that are more economical**, if I put it like that. That will also happen. We talked about the model selection. that's the key cost-controlling measure.

Another one is caching, basically asking your queries in a more efficient way. That is slightly different from what Caveman is doing based on what you are saying. Caveman is more like cutting out the fluff from the question itself, whereas caching, and I am not a super technical person, but I think that's more like in the thread, it keeps the context alive. It doesn't have to refer back to it in a way that consumes credits all the time. That's another way of saving credits.

Long story short, and sorry if I am rambling here, but you are spot on that the economics of credit consumption will become a key topic because we are saying that some of the labor cost will switch to token cost. Actually, quite a lot of the labor cost will switch to token cost. It will be a pertinent question, but I think it will also be solved via other levers as well, as could be expected. I'm not sure Caveman is addressing it via the most efficient lever.

Client 00:16:03

Got it. Is that because you think that there are higher priority, higher needle-moving things like model selection that enterprises will care more about?

Expert 00:16:12

That's the gist of it. I think you get further along on the cost-saving side by having mechanism for choosing appropriate models and gravitating towards cheaper one wherever possible. That's probably a higher value lever, yes.

Client 00:16:27

Sorry to jump in. Just a quick question on the model selection. Do you see a world where the OpenAIs and the Anthropics own the model selection layer by releasing their own? I know Haiku is an example of how cheap Claude produces. Do you see a world where they also own that selection, where they pick between either Fable or their cheaper Haiku model, or do you think that will be a third-party or a separate algorithm that will pick between more open-source and closed source?

Expert 00:16:56

That's a good question. Why not? Right now, I use Claude a lot. Whenever you ask a question, it's basically up to you to choose the model you believe is more appropriate for the task. I think **that's a bit archaic and it's not really efficient**. **This is probably a tricky question**, but it's really hard to know which of the four or five different models is appropriate.

I could see a development on their side that they first run the question with a small bot, then based on the perceived complexity, they recommend you to solve it with this model. Maybe also will quickly query how important is this to you, etc. Then based on that, they will do a recommendation. I think that would actually be a value add for them, and I would not be surprised if they're working on it.

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Client 00:17:51

How do you see this being done in practice currently? If you do an implementation, do you pick a specific model and then, in practice, does it just stay the same even though the new models are being released? Are the enterprises actually running evaluations of new models against use cases they already have deployed?

Expert 00:18:10

It depends. In agentic automation, typically they are using platforms that have checker bots. At least the good agentic automation platforms, they have an orchestration layer where they build the bots or agents that query the underlying LLMs. They are not owned by the agentic automation companies. They are querying the same LLMs that we have access to.

There, the good ones, Otera is an example I work with, they have their own agent in between that look at, in the workflow that you define, this could be, for example, a claims policy process or insurance claims process. There you have like, "We need a 93% confidence score in order to have this fully automated, for example," and you can set this. They will know, for this query, with this confidence score, we will need to use this model. They dynamically choose for you. It is actually indirectly in place in some places, and I think we will see more of that.

I also know that some customers, I'm not sure if it's tinkering, which it could be, honestly, or if it's an end game. I know, for example, a Norwegian insurance company we work with, they have their own LLM, which is within their boundaries. It's tailored to them. They know it by heart, etc. They could optimize it as well, also the queries. Maybe that's also a way. I think they honestly do it more for safety and so on. It could also have maybe ramifications for query cost, etc.

Client 00:19:54

How do enterprises generally think about the trade-offs between quality, cost, and maybe latency in certain use cases, or maybe the origin of the model, if it's from an Asian provider or open source and these things? Maybe can you walk us through how is the general thinking and how maybe also from an implementation perspective, how is the cost being drawn up? Is it based on the return on investment? Is it based on the margin profile of the business? How do people think about it?

Expert 00:20:26

Again, I think we're mainly talking agentic use cases here. If we're talking those, there it's like they often involve customer data. They involve enterprise data. The high-value ones are core flows within your company. Again, insurance claims is a great example. There it's, for example, in Europe you have the E.U. AI Act, you have GDPR, etc. As part of the agentification of that specific process, you have already defined and evaluated which provider are we going with, which model are we using.

Maybe not which Claude model are we using, but you have certainly defined that it complies with your compliance demands and your localization demands, etc. Just introducing an open-source model or a Chinese model in that workflow, it's not something that you can do just because the cost is lower. You're basically bound by that to some extent.

Also, basically because the cost is consumption-based. That introduces a lot of variability, which CFOs and budget holders don't like. **That is already being a problem, and it will be an increasing problem**, like a general statement on my side. On the ROI thing, what you do is, again, when you agentify each and every process, you actually do a business case on it. What is the estimated consumption cost? That goes on the cost side of the ROI calculation. You have already taken that into account, basically.

Client 00:21:59

Super helpful. Maybe just as a final question, you touched on it already before. You said some customers or some systems that you build have that auto-routing function where it, as you said, in insurance claims, or it decides how high-value or how important the request is, and whether it needs to be routed to a Fable or a simpler model. How is that built when you do that for a client? Is that some internal algorithm you build? Is there some system that you can buy online or that you can download as an open source routing system or, how exactly is that routing logic built?

Expert 00:22:34

Honestly, we don't have it ourselves. The only reason I know it's because we work with Otera, which is a European native agentic automation platform, and they have it. They have built it as part of their platform.

Client 00:22:49

How do you spell their name?

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Expert 00:22:52

It's Otera, it stands for autonomous era, Otera.ai. Austria even. You can probably find them. They're pretty small, like a Series A. **They are really good in insurance,** and we are working with them on this. They have the largest agentic use case in the world for Allianz, that you can look up if you're interested. Going back to your original question, in between here, they have their own algorithms. Depending on the criticality of the use case, the complexity of the use case, they can then dynamically choose which model is appropriate in order to control the cost. They also have a cost input to that.

Client 00:23:35

Got it. You mentioned that's specific to insurance.

Expert 00:23:39

Yeah. I am not sure if it only works on insurance. I would not say so probably, but yes they do mostly insurance. I think the bot would work in other cases as well, but it has to know in the context of what it's doing. That's the key aspect. Even if you build a finance and accounting flow, a procure to pay.

In order to choose the correct underlying LLM or the correct underlying model, this algorithm would need to know what is the complexity of this ask, what is the importance within the workflow, what are the threshold in terms of autonomy, etc., and then it can decide which underlying model to choose. That's my understanding of it.

Client 00:24:23

That's super helpful. Very last one, sorry. Just curious on, you mentioned this is early-stage Series A. I don't know, how often do you see these big enterprises experimenting with smaller companies, or is there a bias towards looking only at companies that have raised loads of money? Maybe your personal opinion and then how you view it in terms of working with groundbreaking software.

Expert 00:24:46

I see both sides, to be clear. A lot of the enterprise clients, or all of them, including ourselves actually, are quite bureaucratic. it's easier to work with platforms you have already onboarded and that are part of your IT landscape. **This is a problem** here for the native AI companies because everyone and their grandmother is adding AI to their existing platforms. If you are a BPM platform or if you are Salesforce or whatever. It's being added from many directions. If you are a best-of-breed native platform and trying to break in, **it can be tough**.

At the same time, there is a lot of experimentation here. There is a lot of excitement. If you can choose or if you can demonstrate your value, then it can work. Otera is a good example. We have introduced it as a global partner for us, and **we have also seen enterprise clients adopting it**. At the same time, I have other clients that are like, "We are betting on Microsoft, we are going into their ecosystem," taking a deep breath and taking that easy route. I see both sides. Yes, it's easier to work with your existing platforms, no doubt.

Client 00:26:02

Got it. Thank you so much. Super helpful.

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